



Previous Year Questions
IFSCA Grade A 2023
Phase 1 – Paper 2

Q 1: Which of the following options correctly describes the cost treatment of a by-product that does not have any realizable value?

- a. Treated as a separate product and valued at the cost of production
- b. Allocated to the cost of main product
- c. Excluded from the cost of production and shown as a separate expense in the income statement
- d. Written off as a loss in the current period
- e. None of the above

Answer: b Allocated to the main product.

The cost of the by-product is treated as a joint cost. Joint cost is the cost incurred in a common production process that yields multiple products, including the main product and any by-products. In such a case, the cost of the by-product is allocated to the main product based on their relative sales values or some other suitable basis. This allocation process helps to determine the cost of the main product accurately, which is essential for pricing and profitability analysis. However, when the by-product does not have any net realisable value then main product has to bear the entire cost.

Q 2. Subsidy provided for working capital requirements by the government will be considered as?

- a. Capital receipt
- b. Revenue receipt
- c. Current Liability
- d. Long term liability
- e. Provisions

Answer: b.

Grants related to working capital are transferred to P&L as per the accounting standards.

Q3. What is the longest railway station inaugurated in Karnataka a part of?

- a) Northern Railway Station
- b) Central Railway Station
- c) Eastern Railway Station
- d) Southern Railway Station
- e) Southwestern Railway Station

Answer

- e) Southwestern Railway Station, Hubballi Railway Station

The longest railway station inaugurated in Karnataka is a part of the Southwestern Railway. Hubballi Railway Station is the name of the station.

Q 4: Which of the following assets is a non-depreciable asset?

- a. Buildings
- b. Land
- c. Furniture and fixtures
- d. Patents
- e. Vehicles

Answer: b.

Non-depreciable assets are those assets that do not lose their value over time and are not subject to depreciation expense.

Land is a non-depreciable asset because it does not have a determinable useful life. The cost of land is not subject to depreciation, although improvements made to the land may be depreciable.

Q5. Which of the following statements shows the financial position of an organization at a specific point in time?

- a) Income statement
- b) Balance sheet
- c) Cash flow statement
- d) Statement of changes in equity
- e) All of the above

Answer: b. Balance sheet

The income statement shows the financial performance of an organization over a specific period of time, while the cash flow statement shows the inflows and outflows of cash during that same period. However, neither of these statements provides a comprehensive view of the organization's financial position. The balance sheet, on the other hand, shows

the organization's assets, liabilities, and equity at a specific point in time, providing a snapshot of its financial position.

Q 6: Which of the following refers to the useful data that helps in making decisions?

- a. Intelligence
- b. Wisdom
- c. Knowledge
- d. Information
- e. Insight

Correct answer: d Information

Explanation: The useful data that helps in making decisions is referred to as "information". This information can be gathered through various sources such as market research, customer feedback, financial statements, and operational data. Once the data has been collected, it is processed, analysed and presented in a way that can help managers make informed decisions.

Q 7. Which of the following leadership styles emphasizes employee involvement in decision-making?

- a. Authoritarian
- b. Laissez-faire
- c. Transformational
- d. Participative/Democratic
- e. Servant

Answer: d. Participative/Democratic

Participative or democratic leadership style encourages employees to contribute their ideas, opinions, and suggestions in the decision-making process. The leader values and respects the inputs of the employees and considers them when making decisions that affect the team or organization. This leadership style fosters a collaborative and supportive work environment where employees feel empowered to share their views and ideas.

Q8. What does the Negotiable Instruments Act, 1881 extend to?

- a) Only to Capital cities of the States.
- b) The whole of India.
- c) The whole of India except the State of Jammu and Kashmir.
- d) The whole of India except the Union Territories.
- e) None of the above.

Answer:

- b) The whole of India.

The Negotiable Instruments Act, 1881 extends to the entirety of India, covering all states and union territories.

Q 9: Which of the following is the main objective of financial management?

- a. Maximizing employee benefits
- b. Minimizing production costs
- c. Maximizing customer satisfaction
- d. Maximizing social responsibility
- e. Maximizing shareholder wealth

Answer e

The main objective of financial management is to maximize the wealth of the shareholders or owners of the company. This objective is achieved by making sound financial decisions regarding investments, financing, and dividend policies.

Q 10: What is the interest cost of an organization's own funds called?

- a. Actual cost
- b. Market cost
- c. Notional cost
- d. Opportunity cost
- e. Marginal cost

Answer c. Notional cost.

Notional cost is any imaginary cost that have been included in the cost for decision making purposes. But opportunity cost is NOT just any imaginary cost. Opportunity cost arises only when one course of action has been selected and because of that benefits that were available under other alternatives have been foregone

In simple words all opportunity costs are notional costs but not all notional costs are opportunity costs.

Let's understand it with an example.

Company owns a piece of land and have used it to install a production machinery on it.

Now every unit that is being produced will not have rental cost included in it as company is not incurring any cost towards rent. But if company wants to compare its product's performance with the one of its competitor's product and if that competitor is incurring a rental cost then to make the comparison "fair" then company might add an imaginary rental cost in the production cost. As this is mere imagination and company is not actually incurring any cost towards rent thus the name notional which also means imaginary.

Opportunity cost will only arise and will be included in the cost of production when company had the option to rent out the land and someone was willing to pay the rent as well i.e. company had the second alternative of letting it instead of using it for production purposes then such notional rental cost (that is equivalent of expected rent that can be earned by renting out this land) will be an opportunity cost as well.

Q 11: What kind of cost is opportunity cost?

- a. Variable cost
- b. Fixed cost
- c. Marginal cost
- d. Average cost
- e. Sunk cost

Answer: c. Marginal cost.

Opportunity cost is the cost of foregone alternatives when a choice is made. Marginal cost, on the other hand, is the cost of producing one additional unit of a product or service.

Q.12 Which of the following states has a total fertility rate of less than 2.1?

- a) Uttar Pradesh
- b) Bihar
- c) Madhya Pradesh
- d) Rajasthan
- e) Gujarat

Answer:

- c) Madhya Pradesh

A total fertility rate (TFR) of less than 2.1 indicates that, on average, each woman is having fewer than 2.1 children, which is considered the replacement level fertility.

Q.13 India is currently part of G20 Troika comprising India and which other two countries?

- a) China and Russia
- b) Indonesia and Brazil
- c) United States and Germany
- d) Japan and South Korea
- e) Australia and Turkey

Answer:

- b) Indonesia and Brazil

The G20 Troika consists of the current, previous, and next host countries of the G20 summit. As of now, India is part of the Troika along with Indonesia and Brazil.

Q14. What is the name and amount of prize money given under the KK Birla Foundation to noted Hindi writer Gyan Chaturvedi?

- a) Saraswati Samman, 5 Lakhs
- b) Sahitya Akademi Award, 3 Lakhs
- c) Vyas Samman, 4 Lakhs
- d) Jnanpith Award, 10 Lakhs
- e) Gyanpith Award, 2 Lakhs

Answer:

- c) Vyas Samman, 4 Lakhs

The KK Birla Foundation awards the Vyas Samman to notable Hindi literary works. Gyan Chaturvedi received this award along with a prize money of 4 Lakhs.

Q 15. How operating leverage is calculated?

- a. Contribution/EBIT
- b. Contribution/EBT
- c. Contribution/EAT
- d. Contribution/ Operating expenses
- e. Contribution/ Sales

Answer: a

Operating leverage can be calculated using the following formula:

Operating Leverage = Contribution / Operating Income

where Contribution Margin is the amount of revenue left over after variable costs have been paid, and Operating Income is the total amount of revenue minus all operating expenses, including both fixed and variable costs.

Another way to calculate operating leverage is to use the following formula:

Operating Leverage = % Change in Operating Income / % Change in Sales

This formula shows how a percentage change in sales affects a percentage change in operating income. A higher operating leverage indicates that a small change in sales can have a significant impact on operating income, whereas a lower operating leverage means that a large change in sales is needed to have a significant impact on operating income.

Q 16: How is the working capital of an entity computed?

- a. Excess of current liabilities over current assets.
- b. Excess of total assets over outside liabilities.
- c. Excess of current assets over current liabilities.
- d. Excess of Income over expenses.
- e. Excess of Expenses over income.

Answer: c.

The excess of current assets over current liabilities is known as working capital.

Current assets are those assets that can be easily converted into cash within a year, such as cash, accounts receivable, inventory, and prepaid expenses. Current liabilities are those obligations that are due within a year, such as accounts payable, short-term loans, and accrued expenses.

When a company has more current assets than current liabilities, it has positive working capital.

Q17. What is the criteria for the front runner category in the SDG India Index?

- a) 0-33%
- b) 34-65%
- c) 66-99%
- d) 100%
- e) It varies annually

Answer:

- c) 66-99%

The front runner category in the SDG India Index is defined by a score range of 66-99%. This indicates significant progress towards achieving Sustainable Development Goals (SDGs) in various states and union territories of India.

Q18. Under which law is the minimum paid-up capital required to be held by the government in a company to make such company a government company?

- a) Indian Constitution
- b) Companies Act, 1956
- c) Income Tax Act, 1961
- d) Indian Contract Act, 1872
- e) Companies Act, 2013

Answer:

- e) Companies Act, 2013

According to the Companies Act, 2013, a company is classified as a government company if at least 51% of its paid-up share capital is held by the government, directly or indirectly.

Q 19. Which of the following options correctly describes the type of costing that Batch costing is?

- a. Contract costing
- b. Process costing
- c. Job costing

- d. Unit costing
- e. None of the above

Answer: c. Job costing

Batch costing is a type of job costing, which is a method of costing used to determine the cost of a specific job or product. Job costing is used in manufacturing, construction, and service industries to track and allocate costs to individual jobs or projects. Batch costing is used when a group of identical or similar products is produced together in a batch or a specific quantity. The costs are then allocated to each batch, and the cost per unit is determined by dividing the total cost of the batch by the number of units produced.

Q 20. Which regulatory body governs Limited Liability Partnership (LLP) firms in India?

- a. Reserve Bank of India (RBI)
- b. Securities and Exchange Board of India (SEBI)
- c. Ministry of Corporate Affairs (MCA)
- d. Registrar of Companies
- e. Indian Partnership Act

Answer: c

In India, Limited Liability Partnership (LLP) firms are regulated by the Ministry of Corporate Affairs (MCA), which is responsible for overseeing and administering the Companies Act, 2013 as well as the Limited Liability Partnership Act, 2008. The MCA is also responsible for registering and maintaining records of LLPs in India, and ensuring that they comply with legal and regulatory requirements.

Q21. The _____ environment in which a company operates in an economy is termed as?

- a) Business
- b) Corporate
- c) Market
- d) Economic
- e) Industrial

Answer:

d) Economic

Explanation:

The economic environment refers to the conditions and factors that influence the performance and activities of businesses within an economy, including aspects such as inflation, economic growth, fiscal policy, monetary policy, and more.

Q 22: While regulator in India regulates and provide guidelines on issuance of commercial papers?

- a. Insurance Regulatory and Development Authority of India (IRDAI)
- b. Securities and Exchange Board of India (SEBI)
- c. Federation of Indian Chambers of Commerce and Industry (FICCI)
- d. Ministry of Corporate Affairs (MCA)
- e. Reserve Bank of India (RBI)

Answer: e RBI

The RBI regulates and provides guidelines on the issuance of commercial papers in India, which are short-term unsecured promissory notes issued by companies to raise funds for their short-term financing needs. Option A is incorrect as SEBI is a regulatory body for the securities market in India, and is not directly responsible for the regulation of commercial papers.

Q 23. Which institution or entity is custodian of Country's foreign exchange reserve?

- a. Ministry of Finance
- b. Reserve bank of India
- c. Ministry of Foreign Affairs
- d. International Monetary Fund
- e. Ministry of Trade

Answer: b. Reserve bank of India

The foreign exchange reserves are assets held by the central bank in different currencies, such as the US dollar, euro, pound sterling, etc. These reserves play an important role in maintaining the stability of the country's currency and meeting international payment obligations.

The RBI manages the foreign exchange reserves in accordance with the Foreign Exchange Management Act (FEMA) and the guidelines of the International Monetary Fund (IMF).

Q24. Who amongst the following is not eligible to receive benefits under the PM Kisan Samman Nidhi (PM-KISAN)?

- a) Small and marginal farmers
- b) Farmer with less than 2 hectares of land
- c) Farmer with more than 5 hectares of land
- d) Farmer with more than 10 hectares of land
- e) All farmers are eligible

Answer:

- d) Farmer with more than 10 hectares of land

Under the PM Kisan Samman Nidhi scheme, only small and marginal farmers with less than 2 hectares of cultivable land are eligible to receive benefits. Farmers with more than 10 hectares of land are not eligible for this scheme.

Q25. As per the National Education Policy, the Gross Enrollment Ratio (GER) in higher education is aimed to be raised to ____ by 2035?

- a) 25%
- b) 35%
- c) 50%
- d) 75%
- e) 100%

Answer:

- c) 50%

The National Education Policy aims to increase the Gross Enrollment Ratio (GER) in higher education to 50% by the year 2035. GER represents the percentage of eligible students enrolled in higher education institutions.

Q26. The population of which age group is included in the calculation of the literacy rate in India?

- a) 5 years and above
- b) 7 years and above
- c) 10 years and above
- d) 15 years and above
- e) 18 years and above

Answer:

- b) 7 years and above

In India, the literacy rate is calculated based on the population aged 7 years and above. This age cutoff is used to determine the proportion of the population that can read and write in any language with understanding.

Q 27: As per the Income Tax Act in India, who is considered as the head of a Hindu Undivided Family (HUF)?

- a. The eldest member of the family
- b. The youngest member of the family
- c. The male member with the highest income
- d. The female member with the highest income
- e. The Karta

Answer: e. The Karta is the head of a Hindu Undivided Family (HUF) as per the Income Tax Act in India. The Karta is usually the eldest male member of the family who manages the affairs of the HUF and makes decisions on behalf of the family. However, in some cases, the Karta may be a female member if there are no male members in the HUF or if the male members are minors.

Q 28: Which type of planning is typically focused on the long-term objectives of an organization?

- a. Strategic planning
- b. Tactical planning
- c. Operational planning
- d. Contingency planning
- e. Financial planning

Answer: a.

Strategic planning is the type of planning that is typically focused on the long-term objectives of an organization. This type of planning involves defining the organization's vision, mission, and goals, and developing strategies to achieve those goals over a period of several years.

Strategic planning usually involves top-level management and requires a thorough analysis of the organization's external and internal environment. It considers factors such as market trends, customer needs, competition, technology, resources, and capabilities to develop a comprehensive plan for the future.

Question 29: A salesperson in an organization have a fixed salary of \$2,000 per month, and an additional commission of 10% on all sales made. This is an example of which type of cost?

- a. Fixed Cost
- b. Variable cost
- c. Semi variable cost
- d. Opportunity cost
- e. Marginal cost

Answer: c

In the above question the salary cost is semi-variable as it consists of a fixed component (base pay) and a variable component (commission). The variable component of the cost changes based on the level of sales made, while the fixed component remains constant over the period.

Q 30: In which role does a manager provide vision and direction to their team, and inspire them to work towards achieving organizational goals?

- a. Monitor
- b. Disseminator
- c. Spokesperson
- d. Leader
- e. Liaison

Answer: Leader

The role of a leader involves a manager leading and guiding their team towards achieving organizational goals. As a leader, a manager provides direction, sets goals, establishes expectations, and creates a positive work environment that fosters collaboration, innovation, and growth.

Q31. Which of the following types of power is used by a manager who forces employees to work and threatens them with punishment for non-compliance?

- a. Coercive power
- b. Legitimate power
- c. Expert power
- d. Referent power

e. Reward power

Correct answer: A) Coercive power

The power used by a manager who forces employees to work and threatens them with punishment for non-compliance is referred to as "coercive power". Coercive power is a type of negative power that relies on the ability to punish or control others through threats or actual application of punishment. While this approach can be effective in some situations, it is generally not a desirable approach to management as it can lead to low morale, high turnover, and a lack of commitment among employees.

Q 32. What is the term used to describe the process of staffing in which the right candidate for the organization is onboarded?

- a. Recruitment
- b. Screening
- c. Selection
- d. Onboarding
- e. Staff development

Answer: c. Selection

The process of staffing in which the right candidate for the organization is onboarded is referred to as "selection". Selection is a critical step in the strategic staffing process and involves identifying and hiring the most qualified candidates for a particular position. Recruitment is the process of attracting and identifying potential candidates, while selection is the process of evaluating and choosing the best candidate from that pool.

Q33. As per the New Education Policy, a mother tongue will be the medium of instruction till which class?

- a) Grade 3
- b) Grade 5
- c) Grade 8
- d) Grade 10
- e) Grade 12

Answer:

- b) Grade 5

According to the New Education Policy, the mother tongue or regional language will be the medium of instruction at least till Grade 5, but preferably till Grade 8. This policy aims to promote multilingualism and preserve cultural heritage while ensuring effective learning outcomes.

Q34. What is the amount of premium to be paid by a member under the PM Shram Yogi Maandhan Yojana who is joining the scheme at the age of 28 years and till when he has to pay the premium?

- a) Rs. 50 and 65 years
- b) Rs. 75 and 60 years
- c) Rs. 100 and 60 years
- d) Rs. 150 and 65 years
- e) Rs. 200 and 70 years

Answer:

- c) Rs. 100 and 60 years

Under the PM Shram Yogi Maandhan Yojana, a member joining at the age of 28 years needs to pay a monthly premium of Rs. 100. The premium needs to be paid until the member reaches the age of 60 years.

Q 35. What method is used to calculate the Sensex and Nifty indices in India?

- a. Free Float Market Capitalization Method
- b. Market Capitalization Method
- c. Simple Average Method
- d. Modified Capitalization Weighted method
- e. Weighted Market Capitalization Method

Answer: a

Free Float Market Capitalization Method is a method of calculating market capitalization that takes into account only the shares of a company that are freely available for trading in the market. In other words, it is a calculation of a company's total market value based on the number of shares that are actually available for trading in the open market, rather than all outstanding shares.

The Free Float Method excludes shares that are held by promoters, governments, and strategic investors that are not available for trading in the market. This method is often used to reflect the true market value of a company's shares that are actively traded in the market, rather than the value of all outstanding shares.

This method is commonly used to calculate the market capitalization of companies included in stock market indices such as the Sensex and Nifty in India.

Q36. NASA's James Webb Space Telescope found a planet LHS 475-b, which is almost identical in size to which planet?

- a) Mercury
- b) Venus
- c) Earth
- d) Mars
- e) Jupiter

Answer:

c) Earth

The planet LHS 475-b discovered by NASA's James Webb Space Telescope is reported to be nearly the same size as Earth. This makes it a significant discovery in the search for potentially habitable exoplanets.

Q 37. What does the ratio obtained by dividing a company's net income by its number of shares outstanding signify?

- a. The company's market capitalization
- b. The number of shares that are available for trading on the stock market
- c. The earnings per share of the company
- d. The book value per share of the company
- e. The dividend yield of the company

Answer: c. The earnings per share of the company.

The ratio obtained by dividing a company's net income by its number of shares outstanding is known as earnings per share (EPS). EPS is a financial ratio that is used to measure a company's profitability on a per-share basis.

The EPS ratio indicates the amount of profit that can be attributed to each share of the company's stock. This means that the higher the EPS, the more profit a company is generating per share of its stock.

Q38. In case of large fluctuations in purchase price of inventory which method for calculation of cost of inventory should be used?

- a. LIFO method
- b. FIFO method
- c. Specific identification method
- d. Weighted average cost method
- e. Moving average cost method

Answer: d

Under the weighted average cost method, the cost of each unit of inventory is calculated as the total cost of all units purchased divided by the total number of units purchased. This method takes into account the varying purchase prices of inventory and calculates a weighted average cost for all units in inventory.

For example, if a company purchases 100 units of inventory at a cost of \$10 per unit and then purchases an additional 200 units of inventory at a cost of \$12 per unit, the weighted average cost per unit would be calculated as follows:

Total cost of inventory = (100 units x \$10 per unit) + (200 units x \$12 per unit) = \$1,000 + \$2,400 = \$3,400

Total number of units in inventory = 100 units + 200 units = 300 units

Weighted average cost per unit = \$3,400 ÷ 300 units = \$11.33 per unit

Q39. Which of these is not a foreign company?

- a) Coca-Cola
- b) Samsung
- c) Toyota
- d) ITC
- e) Nestlé

Answer:

d) ITC

ITC is an Indian multinational conglomerate company headquartered in Kolkata, India. It is not a foreign company. The other options listed are multinational corporations originating from different countries outside India.

Q40. World economic outlook predicts global slowdown in 2023 because of -

- a) Increasing of interest rate by developed economies to counter inflation.
- b) Because of slowdown due to developing economies.
- c) War in Ukraine.
- d) Both A and B.

e) Both A and C.

Answer:

e) Both A and C.

The World Economic Outlook predicts a global slowdown in 2023 due to both the increasing interest rates by developed economies to counter inflation and the war in Ukraine. These factors can lead to economic uncertainty, reduced consumer and investor confidence, disrupted supply chains, and overall economic slowdown on a global scale.

Q41. NABARD refinance loan of which sector in Indian?

- a. Rural Sector
- b. Urban Sector
- c. Real Estate
- d. Textile and Apparel
- e. Automobile

Answer: a Rural Sector, as NABARD (National Bank for Agriculture and Rural Development) is primarily focused on providing financial assistance to the agriculture and rural development sectors in India.

Q42. David Malpass resigned from which organization?

- a) International Monetary Fund (IMF)
- b) United Nations (UN)
- c) World Trade Organization (WTO)
- d) World Bank
- e) Asian Development Bank (ADB)

Answer:

d) World Bank

David Malpass resigned from his position as President of the World Bank. He served as the President of the World Bank from April 2019 to January 2022.

Q 43: As per which accounting concept an asset should be valued at 'Lower of net realizable value' or 'Fair value'?

- a. Entity concept
- b. Accrual concept
- c. Consistency concept
- d. Prudence concept
- e. Going concern concept

Answer: d. Prudence concept.

The accounting concept that states that an asset should be valued at "Lower of net realizable value" or "Fair value" is the Conservatism concept, also known as the Prudence concept.

This concept requires that a cautious approach should be taken in the face of uncertainty, and that losses and expenses should be recognized when they are probable, while gains and revenues should be recognized only when they are certain.

In the case of an asset, if the asset's carrying value on the balance sheet exceeds its net realizable value or fair value, the asset must be written down to the lower value.

For example, if a company has inventory that has a carrying value of \$10,000, but its net realizable value is only \$8,000, the company must write down the inventory to \$8,000, as per the Conservatism concept. This ensures that the company recognizes the potential loss in value of the inventory, even if it has not yet been sold.

Q 44. What is the appropriate accounting treatment for specific donations and legacies received by a non-profit organization in India?

- a. Income & expenditure account (Revenue account)
- b. Capital fund account
- c. Reserve Fund account
- d. Asset account
- e. None of the above

Answer: b. Capital fund account

A charitable institution often received donations, donations may be a general donation or a specific donation.

1. General donation is a donation in which donor does not specify any condition for its use. This account of general donation is accounted as an income and credited to income and expenditure account.
2. Specific donation is a donation where the donor specifies the purpose for which the donation can be used. Specific donations are capitalised and is shown in the liability side of balance sheet.

Legacy is the amount received as donation by a Not-for-profit organization under WILL of a deceased person. The donor may or may not specify conditions for its use. In case no conditions are specified it is accounted as general donation and if a specific condition is specified, it is accounted as 'Specific donation'.

Q45. Demographic dividend is related to?

- a) Birth, Death, and Migration
- b) Urbanization
- c) Gender issue
- d) Caste System
- e) Population Problems Only

Answer:

- a) Birth, Death, and Migration

Demographic dividend refers to the economic growth potential that can result from shifts in a population's age structure, particularly when the proportion of the working-age population is larger than the dependent population (children and elderly). This demographic phenomenon is influenced by factors such as birth rates, death rates, and migration patterns.

Q 46: What type of cost is advertisement expense considered as?

- a. Selling overhead cost
- b. Administrative overhead cost
- c. Manufacturing overhead cost
- d. Research and development overhead cost
- e. None of the above

Answer: a

Advertisement expense is considered an indirect cost that is associated with the selling function of a business, and hence is categorized as a selling overhead cost. Selling overhead costs include expenses related to advertising, marketing, sales commissions, and other costs incurred to promote and sell a company's products or services

Q47. Which variable is compared to working capital when calculating the working capital turnover ratio?

- a. Gross Profit
- b. Fixed Assets
- c. Net Sales
- d. Total Liabilities
- e. None of the above

Answer: C. Net sales

The working capital turnover ratio is a financial ratio that measures how efficiently a company is using its working capital to generate sales. It is calculated by dividing net sales by the average working capital over a period of time.

Working capital is the difference between a company's current assets and current liabilities. Current assets include things like cash, accounts receivable, and inventory, while current liabilities include things like accounts payable and short-term debt.

Q48. What is goal 5 of the Sustainable Development Goals (SDGs)?

- a) Quality Education
- b) Climate Action
- c) Zero Hunger
- d) Gender Equality
- e) Clean Water and Sanitation

Answer:

- d) Gender Equality

Goal 5 of the Sustainable Development Goals (SDGs) is to achieve gender equality and empower all women and girls. This goal aims to end discrimination, violence, and harmful practices against women and girls worldwide, ensuring equal rights and opportunities in all spheres of life.

Q 49. Which of the following terms describes the authority of a manager that is based on their position within an organization's formal hierarchy?

- a. Personal authority
- b. Informal authority
- c. Charismatic authority

- d. Formal authority
- e. Reward power

Answer: d. Formal authority

Formal authority is the authority of a manager that is derived from their position in an organization's formal hierarchy. It is based on the organization's rules and procedures and gives the manager the power to make decisions, give orders, allocate resources, and enforce policies within their area of responsibility. Other sources of a manager's power and influence include personal qualities, expertise, relationships, and reputation, which are referred to as informal authority.

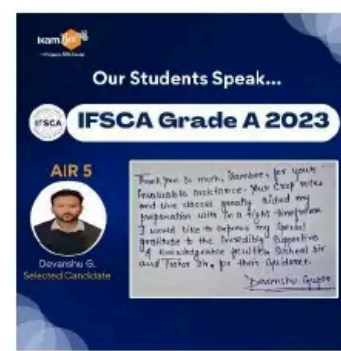
Q 50. In the financial statements of an entity under which type of asset is inventory categorized?

- a. Fixed Assets
- b. Non-Current Assets
- c. Long term investments
- d. Prepaid Expenses
- e. Current Assets

Answer: e

Inventory is a type of current asset. Current assets are assets that can be easily converted into cash or used up within a year. Inventory is a company's stock of raw materials, work in progress, and finished goods that are intended for sale.

The value of inventory is reported on the balance sheet as a current asset. It is typically reported at the lower of cost or market value. This means that if the market value of the inventory falls below its cost, the inventory will be written down to the market value.



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